

Paying for dependence

India did not just absorb a shock from West Asia. It paid the bill for a dependency it has been quietly financing for decades — and the energy subsidy structure is at the heart of it.

Higher crude prices, disrupted shipping routes, costlier LPG cylinders, jittery markets, and a government pushed into crisis mode. That is the visible cost of what the West Asia crisis has done to India.

The hidden cost is harder to talk about.

India is not just dealing with a short-term shock. It is paying for a dependency it has funded for decades.

In 2025, India spent **Rs 4.5 lakh crore** on energy subsidies. Nearly three-quarters of that went to

electricity and LPG. On paper, this is welfare — and affordable cooking gas and power are goals worth defending. The problem is not that India protects its households. The problem is what it has chosen to protect them with.

LPG is the clearest example. India imports a large share of its cooking gas, and much of it still passes through the Strait of Hormuz. The moment West Asia goes unstable, Indian kitchens, oil marketing companies, and the Union budget all feel it.

“India does not control the conflict. India does not control the chokepoint. India only pays the bill.”

THE SUBSIDY QUESTION

This is not a price shock. It is structural exposure wearing the costume of a price shock.

The Middle East has flared up again and again since liberalisation. Each time, the shock reaches India through the same channels: imported fuel, exposed sea routes, and subsidy bills that rise just when the budget can least handle them. What looks like welfare in peacetime turns into fiscal weakness in wartime.

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That is why the real policy debate has been framed wrongly. The question is not whether India

should pull subsidies away from poor households — that is a distraction. The real question is what India should be subsidising at all.

Subsidies that tie households to imported LPG also tie the country to foreign chokepoints. Subsidies that push households towards electric cooking, rooftop solar, Bio-CNG, wind, green hydrogen, and domestic clean-energy manufacturing do something very different. They turn welfare into a strategic tool.

This is where the crisis becomes useful. A shock this big changes how the same numbers are read. Sectors that looked like climate spending a year

ago now look like security investments. Industries that were waiting for political backing have been handed something stronger — a price signal and a national-security argument in one shot. The case for switching what India subsidises is no longer being made in policy papers. It is being made by the market, the budget, and the headlines, all at once.

That is why the West Asia crisis, for all the damage it has caused, has already produced a quiet list of winners.

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I. Solar

India has crossed the 150 GW mark in one of its strongest years of capacity addition. Every rupee that ends up under a panel in Rajasthan is a rupee that no longer needs to pass through Hormuz to keep the lights on. Solar is no longer just a climate story. It is now energy-security infrastructure.

II. Electric mobility

Stricter fuel-efficiency rules, unstable petrol prices, and the unpredictability of imported crude have built a case for hybrids and EVs that no advertisement could have built. For Indian car-makers — especially those already strong in passenger EVs — the war has handed them a commercial argument they did not have to write themselves.

III. Electric cooking

It is the least glamorous of the four, and possibly the most important. A household that moves from an LPG cylinder to an induction stove is not just changing appliances. It is moving from an imported fuel chain to an energy system India can increasingly build at home.

IV. Domestic manufacturing

The PLI schemes for solar modules, semiconductors, batteries, defence equipment, and green hydrogen were once sold as Make in India ambition. The crisis has quietly turned them into survival infrastructure. A country that has just watched import dependence become a national emergency will find it very hard to slow these pipelines down once the war ends.

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This is what Atmanirbhar Bharat looks like inside an energy crisis, stripped of slogans. Not protectionism for its own sake. Strategic substitution, done under pressure.

India cannot control the Gulf. It cannot prevent the next war, blockade, tanker incident, or price spike. What it can control is how exposed its households, industries, and budgets are to those risks.

The West Asia crisis did not create India's energy transition. It gave it a purpose.

Clean energy is no longer only about emissions. EVs are no longer only about urban pollution. Electric cooking is no longer only about modern kitchens. Solar modules, batteries, semiconductors, green hydrogen, and domestic defence production are no longer only industrial-policy talking points.

They are, increasingly, the foundation of a less vulnerable India.

The next Gulf crisis is not a question of if. The real question is whether India spends the years in between still subsidising its dependence — or finally starts subsidising its resilience. ■